Shields Health - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Shields Health is a healthcare company operating through three reportable segments: Medical Devices,

Diagnostics and Pharmacy Services. Our principal executive offices are located in Raleigh, North Carolina. As of the end of fiscal 2024, we employed approximately 8,389 people worldwide. We sell to customers in more

than 114 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- We may be unable to attract and retain the highly skilled employees our strategy needs. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Supply-chain disruptions may delay product shipments and increase input costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- A downturn in global economic conditions could reduce demand for our products. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Acquisitions may not deliver the expected synergies and could divert management attention. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. We have experienced such events in the past and expect to continue to face them.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our

borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $9,555 million, an increase of 0.7 percent compared with the prior year. Operating margin was 23.8 percent and net income was

$1,634 million. The Medical Devices segment was our largest, contributing $6,166 million of revenue.

Segment revenue:

- Medical Devices: $6,166 million
- Diagnostics: $2,200 million
- Pharmacy Services: $1,188 million

Results reflected pricing actions partly offset by

foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $6,875 million, and cash and cash equivalents were $3,344 million. Capital expenditures were $1,103 million, primarily for capacity expansion and technology infrastructure. We did not pay a dividend during the year and prioritised debt reduction. We believe

existing cash, operating cash flow and our revolving credit facility will be sufficient to

fund operations for at least the next twelve months.